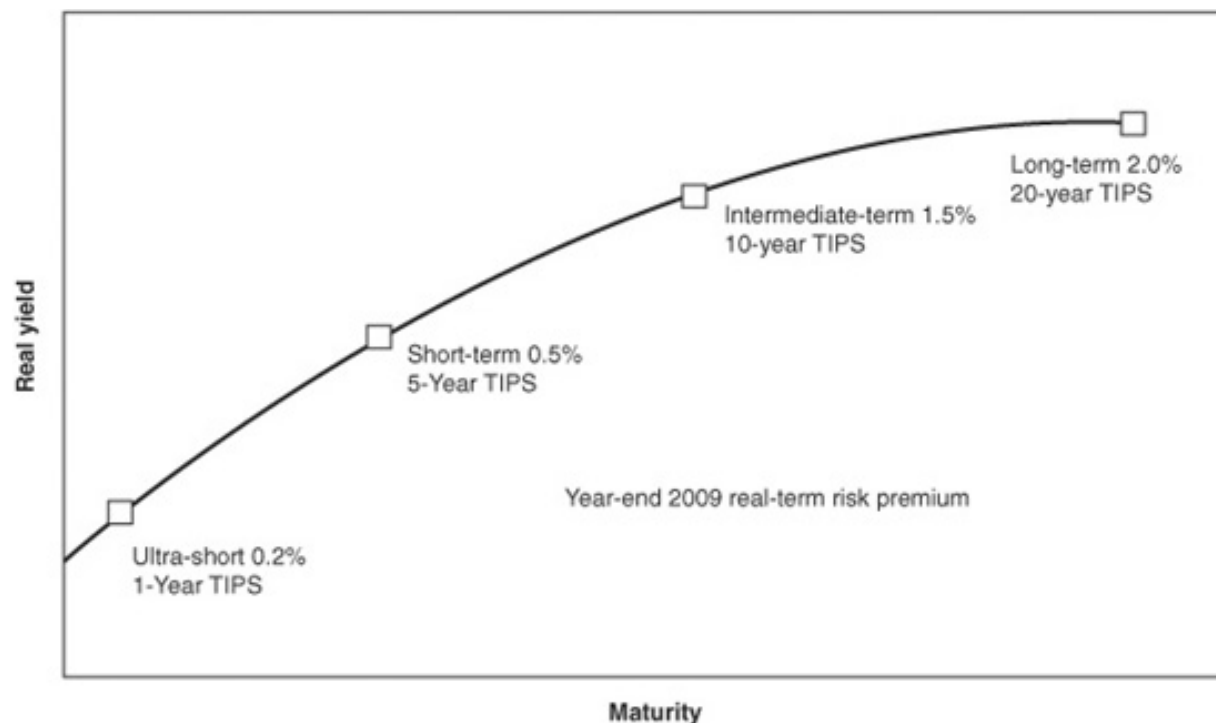


FIGURE 11-5

TIPS Duration and Real Yield Spreads Premiums for Taking Term Risk



[Figure 11-5](#) shows the premium that investors will earn by changing the duration on their fixed-income portfolio across the bond maturity spectrum. Investors can increase or decrease this risk and return expectation by increasing or decreasing duration. For example, people can increase their expected return by about 0.5 percent by increasing their portfolio duration from about three years to about six years. This also increases fixed-income risk because there will be greater losses if interest rates rise.

Treasury bond expected return = T-bill return + term risk premium

All bonds have term risk. Corporate bonds, municipal bonds, and foreign bonds all have term risk that is reflected in their yields. In addition, those issues also have the risk of a credit downgrade or possible default. This credit risk will cause bond prices to fluctuate independent of term risk.

Investors who purchase bonds with credit risk expect to receive a premium for taking that risk. [Table 11-3](#) represents the credit “spreads,” which are the expected premiums across bond maturities and credit quality. AAA to BBB rated bonds are investment grade, and BB to C rated bonds are non-investment-grade, also known as high-yield bonds or junk bonds.